

April 13, 2023

Confidential
Sam Sam
Jun 26, 2024 9:58 AM EDT

CONFIDENTIAL



ENCAP INVESTMENTS L.P.

Dear EnCap Limited Partner:

It has been a very strong and active start to 2023 for our Upstream Platform. The key themes we have highlighted over the past few quarters continue to play out: (i) robust distribution activity from both divestitures and operating cash flow, (ii) value accretion across the portfolio as we execute on high-margin development, and (iii) compelling opportunity to capture high-quality assets as the industry remains capital constrained.

In addition to the positive developments in the existing portfolio, we have significant interest in EnCap Energy Capital Fund XII ("Fund XII") and expect to hold a first close at the end of this month.

Robust Distribution Activity

Our focus on building businesses with scale, strong cash flow, and high-quality inventory has created a stable distribution base while simultaneously positioning assets for strategic exits. As a result, EnCap has announced over **\$6.0 billion in exits so far this year.**

- On April 3rd, EnCap announced the sale of certain Midland Basin assets from Funds IX, X, and XI to Ovintiv, Inc. (NYSE: OVV) for \$4.275 billion, consisting of \$3.125 billion cash and 32.6 million shares of OVV common stock. This transaction will result in an uplift of approximately \$750 million over our year-end marks. Closing is anticipated in June and will result in an initial ~\$2.4 billion cash distribution.
- On April 12th, EnCap closed the previously announced \$1.6 billion sale of Advance Energy to Matador Resources (NYSE: MTDR). At closing, Fund X received \$990 million in cash.
- On April 12th, EnCap announced the sale of Sabalo Energy's mineral and royalty assets to Kimbell Royalty Partners (NYSE: KRP) for a total consideration of ~\$143 million, consisting of ~\$49 million in cash and ~6.0 million shares of KRP.
- EnCap distributed ~\$473 million to investors during the first quarter, predominantly driven by mineral and operating cash flow. We anticipate strong continued distributions from cash flow.
- We have several other sale processes in various stages that could result in significant additional distribution activity during 2023.

Healthy Portfolio

We continue to be one of the most active drillers in the U.S. with 29 operated horizontal rigs running across the portfolio. This highly economic conversion of inventory into cash flow is fueling our distribution model while simultaneously driving NAV expansion across the portfolio. First quarter valuations increased despite a 12% decline in natural gas prices and a 4% decline in oil prices. We remain rooted in our core tenants, with a focus on low leverage (~0.5x across the portfolio), board control, risk management, and economics to best position our portfolio companies regardless of market volatility.

Compelling Opportunity Set

Consistent with our acquisition strategy focused on large-scale, high-quality assets with both existing cash flow and development upside, Grayson Mill III entered into a definitive agreement to purchase Oviniv's Bakken assets for \$825 million in cash (~2.0x 2023E EBITDA). The asset base consists of 44,000 net acres with existing production and cash flow underpinning the purchase price. Additionally, there is an ample inventory of highly economic development locations that will allow for growth and meaningful upside. EnCap's ability to move quickly, provide an all-cash solution, and allow certainty of closing was critical to securing this opportunity. This transaction is expected to close in mid-June.

This represents our 4th sizable acquisition over the last two years and highlights our ability to capture attractive opportunities of scale as our industry remains capital constrained.

Fund XII Update

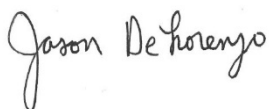
We anticipate holding a first close for Fund XII at the end of April. We continue to see significant interest in Fund XII from both our existing limited partners and new investors. The innovative management fee structure in Fund XII has been well received (a switch from fees on committed capital to fees on invested capital), with the fee discount associated with the first close available to all investors that participate in the April closing as well as those that submit their documentation by the end of June.

Commensurate with the first close, Fund XII will be seeded with two attractive investments with teams whom we have worked with previously and where capital is actively being deployed.

- Grayson Mill III – \$400 million Fund XII commitment with ~50% funded upon first close to complete the acquisition described above.
- Double Eagle IV – \$350 million Fund XII commitment with ~50% funded upon first close. Double Eagle IV has quickly accumulated an attractive acreage position totaling approximately 30,000 net acres in the core of the Midland Basin and initiated a 5-rig pad development program from which we anticipate rapid growth and cash flow generation.

As always, we sincerely appreciate your continued support, and do not hesitate to reach out to us with any questions or for an update call at any time.

Best regards,



Jason M. DeLorenzo
Managing Partner



Douglas E. Swanson, Jr.
Managing Partner

Disclaimer

This update (the “Update”) has been prepared by EnCap Investments L.P. (“EnCap”) and is being delivered for informational purposes only to current investors in existing funds managed by EnCap. The information contained in this Update is subject to the confidentiality provisions of the governing agreement for the EnCap fund in which each such investor is a limited partner. Any reproduction or distribution of the Update, in whole or in part, or the disclosure of any portion of its contents, without the prior written consent of EnCap, is strictly prohibited. By accepting delivery of the Update, each recipient agrees to the foregoing and acknowledges on behalf of itself and its affiliates the following restrictions, limitations and qualifications.

The distribution of the Update does not constitute an offer to sell or a solicitation of an offer to buy interests in any fund managed or sponsored by EnCap, and shall not be deemed to be any such offer or solicitation. Any such offer or solicitation will be made only pursuant to a final confidential private placement memorandum of such fund including any supplements thereto (collectively, the “PPM”), which will describe the terms and conditions of, and certain risks related to, an investment in such fund, such fund’s subscription documents, and all applicable private placement rules and regulations. The information contained in the Update will be superseded by, and is qualified in its entirety by reference to, the relevant PPM which should be read carefully prior to an investment in such fund. The Update is not intended to, and does not, include all information necessary to make the statements herein not misleading. An investment in an EnCap fund entails a high degree of risk and no assurance can be given that such fund’s investment objectives will be achieved or that investors will receive a return of their capital.

Certain information contained herein has been obtained from published or unpublished sources prepared by other parties not affiliated with EnCap. Neither EnCap nor its affiliates have verified any finding in the information attributed to a third-party herein and recipients of the Update should make their own independent investigations and evaluations of any such information. Any projections, forecasts and estimates and illustrative case studies contained in the Update are necessarily speculative in nature and are based upon certain assumptions and are provided for illustrative purposes only. It can be expected that some or all of such assumptions will not materialize or will vary significantly from actual results. Accordingly, any projections are only estimates and actual results will differ and may vary substantially from the projections or estimates shown. The recipient should not rely on, and EnCap expressly disclaims any representations or warranties as to, the projections, forecasts, estimates and case studies contained in the Update.

The statements made in the Update are as of 4/13/2023 and EnCap does not undertake any obligation to update the information contained herein or the assumptions on which such information was based in light of later events, developments or circumstances. EnCap and its affiliates make no representations or warranties, express or implied, as to the accuracy or completeness of any information contained in the Update and expressly disclaim any responsibility or liability for any loss or damage suffered or incurred by the recipient or any other person or entity (whether direct, indirect, consequential, reasonably foreseeable or otherwise) however caused (including but not limited to negligence) in connection with the information contained herein or the authenticity, accuracy, or completeness of such information. The recipient hereby acknowledges EnCap’s disclaimer of liability and on behalf of itself and its affiliates expressly releases EnCap and its affiliates and representatives, from any liability, loss or damage.